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Kaiser Foundation Health Plan

Clinical Policy for Medical Necessity Criteria for Total and Partial Knee Arthroplasty

Department: Orthopedic Surgery	**Effective:** 2/4/2026
Policy #: NCP 114 *(was NCP 14 until 8/4/26)*	**Last Reviewed:** 6/24/26

Overview/Definitions

Medical necessity criteria and policy are applied only after member eligibility and benefit coverage is determined. Questions concerning member eligibility and benefit coverage need to be directed to Membership Services.

Coverage Determinations

Line of Business	Determination Name/Number & Contractor	Revision Date
For Medicare Members		
NCD	None	
LCD	L36575 "Total Knee Arthroplasty". For Medicare lines of business, use the criteria in the LCD (Noridian Healthcare Solutions, LLC).	11/06/2025
For Medicaid Members		
OR Medicaid	This policy does not apply.	
WA Medicaid	This policy does not apply.	
Commercial and Self-Funded Plans		
OR Commercial	This policy applies	
WA Commercial	This policy applies	
Self-funded Plans	This policy applies	

Clinical Indications for None-Medicare Members

Total and/or Partial Knee Arthroplasty may be considered medically necessary for degenerative joint disease when ALL the following are met:

1) Treatment is needed because of functional disabling pain of at least 3 months duration which interferes with the ability to carry out activities of daily living

2) Radiographic or arthroscopic evidence of moderate to severe osteoarthritis as evidenced by 1 or more of the following:

- Moderate multiple osteophytes, definite narrowing of joint space, some sclerosis and possible deformity of bone contour (Kellgren-Lawrence Grade 3)
- Large osteophytes, marked narrowing of joint space, severe sclerosis, and define deformity of bone contour (Kellgren-Lawrence Grade 4)
- Exposed subchondral bone (full thickness cartilage loss with underlying bone reactive changes) noted on arthroscopy or MRI (Outerbridge Grade IV)

3) Patients must have 3 months of non-operative, conservative treatment as demonstrated by a trial of 1 or more of the following medications:

- Non-steroidal anti-inflammatory drugs (oral or topical)
- Acetaminophen
- Intra-articular injection of corticosteroids as appropriate

4) A trial of at least 3 Physical Therapy sessions in the last 12 months with documentation that includes flexibility/muscle strengthening exercises and reasonable restriction of activities OR documentation that Physical Therapy is not clinically appropriate due to severe pain, severe functional limitations OR severe (end-stage) osteoarthritis.

5) BMI < 40: if BMI is > 40, optimization efforts must include ALL the following:

- Documentation demonstrating active attempts towards weight loss as shown by sustained weight loss over 3-6 months
- Documentation of stagnant weights despite documented active participation in a weight loss or exercise program
- If optimization attempts are unsuccessful, the surgeon and patient may proceed if there is documentation of understanding of the risks through shared decision making. However, BMI > 40 is a relative contraindication. Despite not achieving

this BMI, if the provider has documented adequate efforts to improve these parameters, the case will be reviewed on a case-by-case basis by a medical director.

6) If diabetic the HbA1c < 7.5 (with the presence of heart disease, no specific A1c requirement), if A1C >7.5 the following must be documented:

- Must be involved with active medical management pre and post operatively.

Total and/or Partial Knee Arthroplasty may ALSO be considered medically necessary, after failure of nonoperative interventions, for ANY of the following diagnoses:

- Distal femur fracture in a patient with osteoporosis
- Failure of a previous proximal tibial or distal femoral osteotomy
- Hemophilic arthroplasty
- Limb salvage for malignancy
- Post-traumatic knee joint destruction
- Avascular necrosis of the tibial or femoral condyle
- Inflammatory arthritis

Kellgren-Lawrence Classification of Osteoarthritis

Grade	Description
grade 0 (none)	definite absence of x-ray changes of osteoarthritis
grade 1 (doubtful)	doubtful joint space narrowing and possible osteophytic lipping
grade 2 (minimal)	definite osteophytes and possible joint space narrowing
grade 3 (moderate)	moderate multiple osteophytes, definite narrowing of joint space and some sclerosis and possible deformity of bone ends
grade 4 (severe)	large osteophytes, marked narrowing of joint space, severe sclerosis and definite deformity of bone ends

Outerbridge

Grade	Description
Outerbridge 0	Cartilage is normal
Outerbridge 1	Cartilage shows chondromalacia
Outerbridge 2	Cartilage shows partial thickness fibrillation
Outerbridge 3	Cartilage shows deep fibrillation
Outerbridge 4	Full thickness cartilage loss

Exclusions

Knee arthroplasty is not considered medically necessary due to being contraindicated in the following cases:

- Active infection of the joint or active systemic bacteremia
- Active skin infection within the planned surgical approach
- Unstable angina
- Presence of any medical condition that interferes with successful rehabilitation
- Lack of caregiver or unsuitable home situation for rehabilitation
- Patients who are non-ambulatory at baseline

Coding

CPT Codes	Description
27437	Arthroplasty, patella; without prosthesis
27438	Arthroplasty, patella; with prosthesis
27440	Arthroplasty, knee, tibial plateau
27441	Arthroplasty, knee, tibial plateau; with debridement and partial synovectomy
27442	Arthroplasty, femoral condyles or tibial plateau(s), knee
27443	Arthroplasty, femoral condyles or tibial plateau(s), knee; with debridement and partial synovectomy
27445	Arthroplasty, knee, hinge prosthesis (eg, Walldius type)
27446	Arthroplasty, knee, condyle and plateau; medial OR lateral compartment
27447	Arthroplasty, knee, condyle and plateau; medial AND lateral compartments with or without patella resurfacing (total knee arthroplasty)
27486	Revision of total knee arthroplasty, with or without allograft; 1 component
27487	Revision of total knee arthroplasty, with or without allograft; femoral and entire tibial component
27488	Removal of prosthesis, including total knee prosthesis, methylmethacrylate with or without insertion of spacer, knee

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History Details

Type	Action	Date
Review/Revised	Revised A1C verbiage	6/24/26
Review/Revised	Updated BMI to <40	6/24/26
Changed NCP #	NCP # changed from 14 to 114	8/4/26